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Environmental sustainability practices and exports: The interplay of strategy and institutions in Latin America

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ABSTRACT

We integrate institutional economics with stakeholder theory to examine the antecedents and outcomes of Environmental Sustainability Practices (ESP) for small and medium enterprises in Latin America. We find that these firms primarily engage in ESP to succeed in export markets. We also find that this is especially true when firms demonstrate organizational agency by adopting complementary strategies such as obtaining international quality certifications to develop credibility among stakeholders. Lastly, their cause receives a further boost when they are based in institutional environments that are known for strong democratic voice and accountability mechanisms. In elucidating the interplay of strategy and institutions, we suggest the need to better integrate organizational agency into institutional theory and institutional environment into stakeholder theory.

1. Introduction

We examine the antecedents and outcomes of Environmental Sustainability Practices (ESP) — defined as a firm's policies and actions aimed at promoting sustainability of the natural environment (Aguinis & Glavas, 2012; Hartmann & Uhlenbruck, 2015) — for Small and Medium Enterprises (SMEs) in Latin America. Latin America is witnessing a major expansion in the adoption of ESP that far outstrips local demand for such practices. Per the Organic Monitor (2014), the region annually produces sustainable food products worth over one billion dollars, and Brazil, Argentina, Chile, Colombia and Peru are now major global suppliers of organic coffee, soybean, sugar, herbs, fruits and vegetables. By focusing on ESP, Interrupción, an Argentinian firm, has doubled its exports of fresh fruit every year since 2007 (Balch, 2013). The firm assists small farmers and producers with preferential loans and technical expertise for building regional supply chains centered around sustainable practices.

However, this expansion of sustainability practices is somewhat surprising as there is not much of a demand for organic and sustainable products within the region (Parravicini, 2013). In this study, we argue and demonstrate that the interest in exports markets is one of the main drivers for adoption of sustainability practices by the focal firms. We also show that when firms engage in complementary strategies to develop credibility among stakeholders, such as by obtaining international quality certifications, they are more likely to succeed in export markets. They are likely to receive a further boost to their export performance if they are based in institutional environments with stronger democratic voice and accountability, which ease the process of building trust among stakeholders.

Although our study focuses on ESP in Latin America, we make a broader contribution to stakeholder theory with our richer integration of institutional environment, and to institutional theory by highlighting the role of organizational agency.

First, prior research calls for opening the 'black box' on institutional antecedents of ESP, i.e., by understanding mechanisms through which ESP may influence a firm's competitive performance in its targeted markets (Aguinis & Glavas, 2012; Miska, Szőcs, & Schiffinger, 2018). We not only respond to such calls but extend this work to understand the interplay of strategy and institutions.

We suggest that as firms receive varying degrees of complex, and often conflicting, signals from their institutional environment, their response is conditioned by managerial perceptions and interpretations (Felin, Foss, Heimeriks, & Madsen, 2012; Gaur, Ma, & Ding, 2018). This puts organizational actors at the fulcrum of interpreting and deciding when the pressures are salient enough to demand a substantive response. In the case of Latin America, choosing to act on stakeholder demands for ESP leads to subsequent enhanced performance in export markets. This is especially true when firms adopt complementary strategies and are based in supportive institutional environments.

Second, research on success of institutional pressures across global

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supply chains is rather conflicted (Dau, Moore, & Kostova, 2020; Jamali, Lund-Thomsen, & Jeppesen, 2017; Jamali, Lund-Thomsen, & Khara, 2017). Some scholars suggest that the best institutional pressure on emerging market firms to adopt ESP may emanate from increased scrutiny associated with their participation in export markets (e.g., Lund-Thomsen & Nadvi, 2010), while others (Berrone, Fosfuri, Gelabert, & Gomez-Mejia, 2013; Liang & Renneboog, 2017) suggest that institutional pressures are more effective when they emanate from firms' home environments. Yet others (Kim & Davis, 2016) suggest that the replacement of the vertically integrated multinational corporations of the 20th century by complex, disintegrated supply chains may also be affecting their responsiveness even within the developed country environments. By highlighting the interplay of strategy and institutions in promoting mutually beneficial relationships, we provide a plausible mechanism to help reconcile these contradictory findings.

Third, most of the empirical work on ESP has been carried out in the United States and other developed markets. With some notable exceptions (Boehe & Cruz, 2010), there is dearth of *empirical* work on emerging markets, especially in our chosen context of Latin America (Aguinis et al., 2020; de Oliveira & Jabbour, 2017). Not surprisingly, therefore, scholars have diametrically opposite expectations for effects of ESP for emerging market firms (Hawn, 2013; Wang, Dou, & Jia, 2016). We provide empirical evidence on when and why ESP might be beneficial to emerging market firms.

Lastly, a vast majority of empirical research in this domain suffers from selection bias because they focus on less than half a percent of the population of firms that are large and visible (Shahzad & Sharfman, 2017). In contrast, not much is known about the stakeholder challenges confronting small businesses that make up more than 99 % of all businesses (Laplume, Sonpar, & Litz, 2008). While some scholars suggest that ESP may be too complex and inappropriate for small businesses (Kaler, 2006), we present evidence to the contrary. We suggest that the greater visibility of larger firms, combined with their higher complexity and opacity as well as the separation of ownership from management, makes it harder to identify the performance benefits of ESP. Its rewards for smaller firms, in contrast, are more direct, tangible and identifiable. We answer calls for improved research validity and replicability (Campbell, 2007) by studying a multi-country sample that represents an entire cross-section of Latin American SMEs.

2. Literature and theory development

2.1. Stakeholder theory and institutional context

Stakeholder theory (ST) seeks to explain the nature of relationships between firms and their constituent groups i.e. stakeholders (Freeman, 2002; Parmar et al., 2010). It seeks to understand the processes by which managers balance the interests of various stakeholders and with what effect (e.g., Parmar et al., 2010). However, prior research has had difficulty in obtaining consistent evidence on its core tenets. For example, more than 150 studies have been conducted to study the relationship between corporate social responsibility (CSR), which essentially advocates for proactive stakeholder management and firm performance, and yet that relationship is as unclear as ever (Arora & Dharwadkar, 2011; Liang & Renneboog, 2017). Given this level of conflicting evidence, some researchers have suggested abandoning the quest to study this relationship in favor of research aimed at detecting antecedents and motivations for proactive stakeholder management (e.g., Aguilera, Rupp, & Williams, 2007).

In the current study, we incorporate insights from institutional economics (North, 1990, 1993) into stakeholder theory to move this research forward. Scholars suggest that institutional theory holds a significant promise for understanding how and why firms decide to undertake ESP as their behavior is embedded in specific institutional contexts (Athanasopoulou & Selsky, 2015; Campbell, 2007; Yin, 2017; Zuo, Schwartz, & Wu, 2017). "Institutions are the rules of the game in a society or, more formally, are the humanly devised constraints that shape human interaction" (North, 1990, p. 3). These rules provide a schema for repetitive interactions among individuals and organizations. By endowing legitimacy on firms, they provide the bedrock of economic exchange between a firm and its constituents, including governments, suppliers, buyers, industry associations, community, and media (Arora & Petrova, 2010; Campbell, 2007).

However, subsequent work acknowledges that institutional theory may have overstated the case for convergence. As firms are embedded in multiple layers of institutions, they may receive (or perceive) inconsistent signals from their environment. "At the very heart of this complexity is a single critical fact: firms increasingly operate under multiple, inexplicit, incomplete, often conflicting and continually renegotiated social contracts and institutions" (Yaziji & Doh, 2009, p. 33). These multiple and conflicting demands give rise to the possibility of idiosyncratic interpretations by actors involved, leading to intentional and unintentional variations in practices (e.g., Crilly, Zollo, & Hansen, 2012). Other scholars, similarly, argue that external pressures are important but not deterministic, i.e., firms have certain degrees of choice in determining appropriate responses to external demands (Yin, 2017). They could respond with symbolic or substantive change, wherein the symbolic (substantive) change would involve decoupling (tight coupling) of formal policies and actual practices.

The foregoing discussion suggests that while firms do need to respond to changes in their institutional environment, the extent and nature of their response could vary on a wide spectrum of heterogeneity from symbolic structural changes to substantive/ transformation actions. Yet, sustainability research has not paid adequate attention to the institutional context in which firms take actions to manage their relationships with external stakeholders. With some notable exceptions such as recent work on large multinational firms (Mair, Marti, & Ventresca, 2012; Marano & Kostova, 2016; Marano, Tashman, & Kostova, 2017; Pinkse & Kolk, 2012; Shapiro, Hobdari, & Oh, 2018; Stephan, Uhlaner, & Stride, 2015), the social context remains understudied (Athanasopoulou & Selsky, 2015); leading some scholars to suggest that instead of treating a firm's institutional context as background noise, it needs to be deeply integrated into research design (Jones, 1995; Yin, 2017).

Having made a case for better integration of institutional context, we next outline the broad contours of institutional environment, which is followed by developing hypotheses on antecedents and outcomes of ESP, in Latin America.

2.2. Latin American firms and exports markets

Firms in Latin America have a strong institutional encouragement to look outward. They operate in small home markets with limited potential, and years of falling growth rates have made this environment even more challenging (IMF, 2019). With some intraregional variations, the IMF report highlights the shrinking prospects of major economies in the region; with the combined expected GDP growth below 1% in 2019. As a result of several interrelated factors such as liberalization and increased competition in domestic markets, currency crises, escaping deficient institutional environment and replicating the success of Asian tigers abroad, firms in the region have been looking for expansion opportunities abroad (Aulakh, Kotabe, & Teegen, 2000; Kotler, Jatusripitak, & Maesincee, 1997; Wang & Ma, 2018).

However, unlike their Asian counterparts, Latin American firms faced a very different competitive landscape. By the time they started focusing on international markets, most countries were already heavily promoting international trade (Roberts & Tybout, 1997). Hence, new entrants could not solely compete on the basis of comparative cost advantages (Aulakh et al., 2000; Bernard & Jensen, 2001). Resultantly, they had to seek product differentiation (Dominguez & Brenes, 1997). "If exporters from all developing countries adopted cost leadership strategies, those located in medium-income (and medium-cost)

countries would probably lose out against those from low-income (and low-cost) countries" (Boehe & Cruz, 2010). Instead, these exporters need to find other opportunities to overcome legitimacy concerns associated with their home countries (Godfrey, Merrill, & Hansen, 2009; Wang et al., 2016; Zheng, Luo, & Maksimov, 2015), and the ascendance of sustainability movement provided these exporters with such an opportunity (Boehe & Cruz, 2010).

2.3. Emerging markets, Small and Medium Enterprises (SMEs) and environmental issues

Firms in Latin America, like their counterparts in emerging markets elsewhere, typically operate under lax regulatory supervision and enforcement. This is especially true in case of SMEs that form the bulk of these markets (Jamali, Lund-Thomsen, Jeppesen, 2017; Jamali, Lund-Thomsen, Khara, 2017). Despite their large collective ecological footprint — by some estimates, over 60 % of waste, emissions and accidents occur at SMEs (Blackman, 2010; de Oliveira & Jabbour, 2017) — these firms typically face little pressure on environmental concerns and possess limited knowledge on the possible benefits of undertaking ESP (Hillary, 2004). Some scholars go on to suggest that firms in emerging markets, and SMEs in particular, often get away with the worst environmental and safety standards (Khan, Munir, & Willmott, 2007). These scholars suggest that as SMEs are often second or third-tier suppliers, it is hard to monitor and measure their environmental performance (Kim & Davis, 2016), which is further complicated by the extensive use of unauthorized outsourcing (Lund-Thomsen & Lindgreen, 2014).

However, other scholars suggest that participation in export markets may lead to increased scrutiny on environmental issues (Christmann & Taylor, 2001; Muller & Kolk, 2010). Once firms stop operating solely in domestic markets, they are exposed to relatively higher expectations from their customers abroad. From this perspective, increased pressure on firms in their home markets is transmitted on to their trading partners in emerging markets. A case study based inquiry, which suggested that the firms in emerging markets are increasingly faced with the choice of complying with international norms or losing access to developed markets (Lund-Thomsen & Nadvi, 2010), seemed to concur with this school of thought.

In line with McWilliams and Siegel (2001), who suggest that the CSR levels may be determined by the demand for it, we argue that the diffusion of ESP among firms in Latin America can at least partially be attributed to normative pressures from global supply chains, trade networks and nongovernmental organizations. From prior research (Parravicini, 2013), we know that domestic demand for ESP in Latin America is still in its infancy, although demand for ISO14001 certification and participation in the UN Global Compact Program — an initiative aimed at sustainable development — is witnessing a significant uptick in the region.

Our argument is in consonance with scholars who suggest that smaller organizations and less well-developed sectors are more amenable to institutional pressures i.e., they are more likely to use adaptation as a preferred strategic response (Greenwood & Hinings, 1996). This is expected to be especially true of firms from emerging markets looking to compete in developed countries. These firms are at a disadvantage in terms of knowledge and reputation in the markets that seek to enter (Goedhuys & Sleuwaegen, 2016), and hence are under greater pressure to accede to stakeholder and institutional pressures.

Put differently, the attractiveness of export markets, combined with normative pressures from external stakeholders, generates a significant interest among Latin American firms to adopt ESP. Thus, ESP initiatives at the Latin American firms appear aimed largely at external constituencies, i.e., their interest in adopting proactive ESP policies coincides with their interest in export markets. We do not expect similar interest in ESP among firms operating only in the domestic markets. Hence, as depicted in Fig. 1, we hypothesize that:

Hypothesis 1a. *Indirect institutional pressures nudge Latin American firms to adopt proactive ESP policies.*

2.4. Direct stakeholder pressure

While firms may choose not to act on indirect institutional pressures, direct stakeholder pressure (DSP) reduces uncertainty of economic benefits as well as raises the cost of non-compliance. DSP generally result from pressure on the importers from their own stakeholders. For example, Lund-Thomsen and Nadvi (2010) noticed that when the global lead brands faced criticisms over labor practices in Kenyan cut-flower or Cambodian garment industry, these global firms were more amenable to transmitting the pressure on to their suppliers. In many of these cases, trade unions, Non-Governmental Organizations (NGOs) and media had already made these issues salient to ultimate buyers in the developed markets. This indicates that the external pressure on global suppliers for ESP is more likely to materialize when the importers are themselves under significant pressure to adopt these practices. Alternatively, when importers notice some trends in the marketplace (e.g., organic foods) that advance their strategic interests, they may find it imperative to push their suppliers towards compliance as well. Hence, *ceteris paribus*, a Latin American firm is more likely to adopt ESP when it perceives that it must undertake certain actions to start (or continue) receiving specific benefits or risk some (real or opportunity) costs. Hence, we hypothesize that:

Hypothesis 1b. *Direct stakeholder pressures perceived by the Latin American firms lead to increased adoption of proactive ESP policies.*

2.5. Organizational agency and ESP

Barnett (2007) suggests that it is hard to find consistent evidence on the ESP-firm performance link because different firms need to contend with different strategic outlooks, customer bases and stakeholder relationships. Their existing stock of knowledge and reputation, strategic pursuits, and the extent and cost of change needed to respond to the institutional and stakeholder pressures are other important considerations that go into their decision-heuristics. Resultantly, some firms may resist the temptation to make substantial changes to their existing strategies in response to these pressures. Thus, even when external pressures are consistent and salient enough to require action, managers still need to determine if these are compatible with their strategy, vision and resources. In other words, firms' response may depend on managerial evaluation of strategic choices available to them.

A critical factor determining this choice pertains to firm's ability to develop credibility among its stakeholders. Further, Barnett (2007) suggests that ESP improves firm performance not directly, but by signaling trustworthiness to other stakeholders. From this perspective, ESP can act as a signal to other stakeholders that the firm can be trusted to conduct its operations in a responsible manner (Connelly, Certo, Ireland, & Reutzel, 2011). However, before a firm can benefit for its CSR investments (Wang et al., 2016), it may also need to adopt other strategies such as on raising awareness and developing credibility among its stakeholders (Mitchell, Agle, & Wood, 1997).

In the context of foreign trade from emerging markets, international quality certification (IQC) is one such critical component of the strategy. For obtaining these certifications, firms need to develop a set of organizational practices that meet or exceed international standards. IQC not just helps improve processes and procedures, and perceived product quality (Chow-Chua, Goh, & Boon Wan, 2003), but also helps bolster credibility among buyers. It is one of the major means by which consumers ascertain information about products and their attributes, and hence can have an important signaling effect (Fliess, Lee, Dubreuil, & Agatiello, 2007).

Resultingly, the "advantages of standardization in a global economy

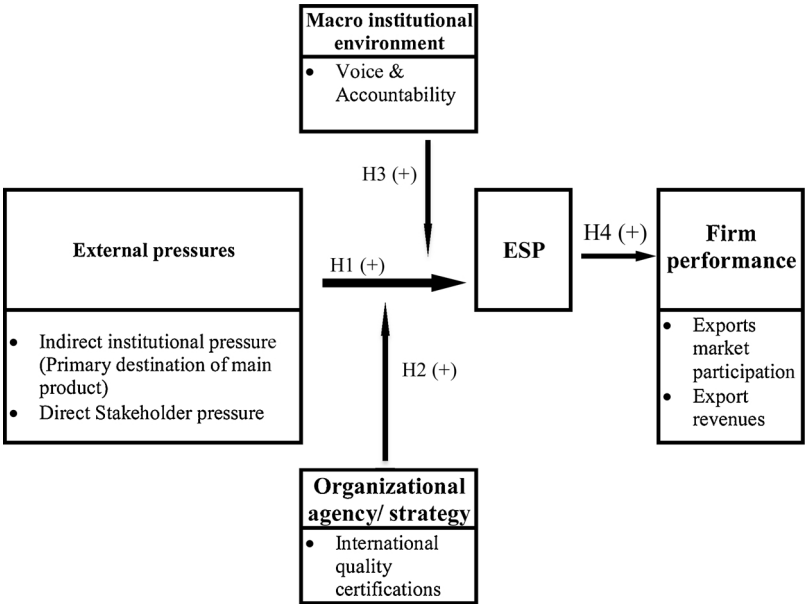


Fig. 1. ESP and Exports: An interplay of strategy institutions.

have turned the adoption of certified management standards into a worldwide phenomenon", which stimulated "trade by eliminating obstacles arising from different national contexts" (Orcos, Pérez-Aradros, & Blind, 2018, p. 850). They "signal a firm's superior but unobserved quality" to buyers in high-income countries, who focus more heavily on higher-quality goods" and tend to "associate lower levels of development in a country with lesser quality of the products originating from there" (Goedhuys & Sleuwaegen, 2016, p. 1344).

IQC, in that sense, is best viewed as a critical component of strategy that demonstrates organizational agency — defined as temporally-situated habits, judgments and strategic actions taken by the actors to advance organizational interests (Emirbayer & Mische, 1998; Howard-Grenville, 2005) — to overcome institutional voids in its home markets as well as liability of foreignness in export markets (Marano & Kostova, 2016; Marano et al., 2017). By investing a considerable amount of time, efforts and resources into obtaining IQCs, firms signal their commitment on strategic change and sustainability. Hence the hypothesis:

Hypothesis 2a. Organizational agency (*International quality certification) is positively associated with the likelihood of adoption of proactive ESP policies.*

When external pressures and internal agency intersect with each other, we expect the likelihood of adoption of proactive ESP policies to increase significantly, i.e., we expect the presence (absence) of IQCs to strengthen (weaken) the relationship between external pressures and ESP (Fig. 1). Hence, the hypothesis:

Hypothesis 2b. Organizational agency (*International quality certification) moderates the relationship between external pressures and the likelihood of adoption of proactive ESP policies such that* its presence (absence) strengthens (weakens) the relationship between external pressures and ESP.

2.6. Voice and accountability

Macroeconomic institutions provide a framework that shapes institutions as well as socially-acceptable behavior (Orcos et al., 2018). While these authors focus on uncertainty avoidance and marketing-supporting institutions such as auditors and investment bankers, we propose another important mechanism that is critical to adoption and success of ESP initiatives in emerging markets, viz. democratic voice and governmental accountability.

Governments in emerging markets are not just tasked with enforcing rules of the game, but also with provisioning for much of their markets' infrastructure and basic services. In their regulatory role, governments create and enforce the ground rules as well as provide incentives and penalties for compliance. These industrial policies and regulations span issues ranging from market access and investments to environment and taxation, with significant implications for business operations (Narula, 2018). In their provisioning role, governments in emerging markets play a near monopolistic role in supplying a wide range of infrastructural services from water and electricity to roads and education.

Although governments in emerging markets are expected to play such an extensive role in economic activity, their capacity to support a (fair) market-based system is generally weak (Hoskisson, Eden, Lau, & Wright, 2000). Institutional obstacles and corruption are issues of special concern to businesses in emerging markets. These challenges pertain to undue delays and hindrances for firms in obtaining regulatory clearances and licenses, accessing various services, and/or enforcing contractual and property rights. Some of these obstacles originate from a lack of institutional knowledge and capacity to enforce rules in a fair manner, others are purposefully enacted to extract illegal rents (i.e., bribes).

However, within Latin America, there are major differences in regulatory regimes across various countries. These differences in democratic voice and governmental accountability (VAE) have a major influence on firms and their stakeholders abroad, especially in terms of credibility. Firms based in countries with stronger VAE are expected to be in a better position to convey their credibility to their stakeholders. As firms determine their response to external pressure and their stakeholders evaluate this response, they are mindful of the larger institutional context in which behaviors and transactions occur.

In contrast to prior research, which suggests that corporate social responsibility (CSR) initiatives are more valuable in countries lacking in market-supporting institutions (El Ghoul, Guedhami, & Kim, 2017; Marano et al., 2017), we suggest that such initiatives are more valuable in countries when external parties can rely on such institutions. Firms in countries with weaker regulatory regimes may not anticipate their external stakeholders to place much faith in their environmental behavior. This changes their decision calculus, and, in turn, may weaken their likelihood of adopting proactive ESP policies.

Firms in countries with greater VAE, in contrast, are more likely to convey credibility to external stakeholders. This is because greater openness in regulatory regimes is expected to translate into increased transparency at the firm level, especially as both governments and firms are mindful of potential backlash from media, civil society, community and political groups (e.g., in response to environmentally irresponsible behavior). Note our argument is in line with expectancy theory, which argues that agentic motivations to act are stronger (weaker) when likelihood of expected reward is higher (lower). Hence, the hypothesis:

Hypothesis 3. *Voice and accountability in a country has both (a) direct and (b) indirect positive effects on the likelihood of focal firms' ESP adoption.*

2.7. ESP and exports

While firms may adopt proactive ESP policies with an eye on entering foreign markets, do such policies materialize in actual marketplace success? There is scant empirical evidence in this regard on firms operating in emerging markets and that from the developed markets is quite variegated. While some scholars (Russo & Fouts, 1997) report a positive relationship between environmental performance and profitability, others (Halme & Niskanen, 2001) find that the immediate stock market reaction to announcements of environmental investments was negative (although stock prices returned to normal levels after a certain level of goodwill had been achieved). Thus, despite the increasing social salience of environmental issues, there is no definitive evidence on the relationship between ESP and firm performance.

However, most of these studies used profitability as a measure of firm performance, which could be the reason for lack of more robust support. The relationship between ESP and profitability can be confounded by multiple factors, including managerial abilities, motivation and misalignment between the interests of managers and shareholders (i.e., agency costs), which potentially intervene between ESP and profitability. However, the relationship between ESP adoption and export revenue is more straightforward.

Adopting ESP helps the firms better respond to the rules of game on access to export markets. As Latin American firms adopt ESP in response to institutional and stakeholder demands, they should, in turn, observe positive response from their trading partners. Hence, we expect the adoption of ESP to be positively related with their export participation (i.e., extensive margin) and revenues (i.e., intensive margin). Put simply, we argue that the adoption of ESP practices helps firms initiate a virtuous cycle in which better compliance with changed normative expectation is rewarded with better export performance (Fig. 1).

Hypothesis 4a. *Adoption of proactive ESP policies by Latin American firms is positively associated with likelihood of their participation in export markets, and*

Hypothesis 4b. *Conditional on export participation, adoption of proactive ESP policies by Latin American firms is positively associated with their export revenue.*

3. Data and methodology

3.1. Data

We employed The World Bank's enterprise surveys (WBES) data. WBES periodically surveys key manufacturing and service sector firms to understand the state of private sector development in emerging economies around the world. It selects firms by using a stratified random sampling based on industry, size and geographic region. These surveys involve semi-structured interviews of top managers at selected firms by trained data collectors; using standardized instruments to minimize measurement error and to yield data that are comparable across economies. Visits in person by trained, neutral interviewers help WBES achieve a high response rate (Jensen, Li, & Rahman, 2010). The interviewers seek to build strong rapport with interviewees to encourage candid responses, and prior research has acknowledged the successfulness of this effort (Reinikka & Svensson, 2006). The interviews involve a combination of facts (e.g., sales, owners and ownership stakes, etc.) and opinions (e.g., fairness of courts), and that these data do not suffer from unrepresentativeness bias (Lee & Weng, 2013).

In conducting periodic surveys—generally every 3–4 years in each targeted country—WBES aim to include both firms previously surveyed and not surveyed to develop a holistic picture of longitudinal trends and new developments in the economy. The surveys use a core set of questions, although regional and local offices can include additional questions on issues, they deem important. *Only* the 2006 surveys administered in 10 countries of Latin America (Argentina, Bolivia, Chile, Colombia, Ecuador, Mexico, Panama, Paraguay, Peru and Uruguay) included questions on ESP that are of interest to us. Our initial sample consisted of all 1,223 firms to whom WBES administered ESP-related questions.[1] Of these firms, 1,192 were included in both 2006 and 2010 surveys. We used lagged performance measures i.e., we use the 2006 survey for independent and control variables, and the 2010 survey for dependent variables. Such a lag is common in strategy research to examine causality (Hambrick & D'Aveni 1988, 1992). Missing information on various variables reduced our final sample to 986 firms.

3.2. Variables of main interest

We capture *Exports Participation* as a dichotomous variable on whether the firm exported or not, and *Exports Revenue* is measured as the log of exports value for a given year.

Environment Sustainability Practices: We use two alternative measures to capture ESP. WBES asked five ESP-related questions in the 2006 survey viz., if they had (i) any energy use optimization program, (ii) any water use optimization program, (iii) recycling program, (iv) used any standardized water and air pollution control system and (v) any community support program. We used responses to these questions to create the weighted average variable ESP Index using Stata procedure < *factor* > with the principal factor option, followed by < predict > . For robustness purposes, we used a simple average index as an alternative measure of ESP. While previous research generally relies on the latter approach (Arora & Dharwadkar, 2011; Mattingly, 2017), this technique does not adequately exploit all the information available in the data. Instead of assigning equal weight to all categories, PCA exploits the richness of data to develop weighted average as some categories may arguably capture more variation in the data (Shukhova & Nisnevich, 2017). This method has been applied in computing a wide variety of indices such as wealth and autonomy (R. Jensen & Oster, 2009; Naman & Slevin, 1993). That said, these arguments are moot in our specific case as all our results are robust to using alternative specifications, and these results are available upon request.

3.2.1. Organizational agency

We use *International quality certifications (IQC)* to operationalize organizational agency. As obtaining an IQC requires significant time commitment, effort, willingness to change and expense, especially for emerging market SMEs, it satisfies the criteria for demonstrating agency. A WBES question on whether a firm obtained any IQCs (Yes =

[1] Our initial sample consisted of Textiles and garments (29%), Food (28%), Chemicals (17%), Machinery and equipment (6%), metal products (6%), Plastics & rubber (4%), Non-metallic mineral products (3%), Electronics (1%), and other (5%) industry segments. Firms included represented the following countries: Chile (21%), Argentina (20%), Colombia (15%), Peru (14%), Mexico (11%), Uruguay (7%), Ecuador (4%), Paraguay (4%), Bolivia (3%), and Panama (3%).

1, No = 0) provides this information.

3.2.2. Indirect institutional pressure (IIP)

We use intended main destination of primary product to operationalize indirect stimuli. As we expect attractiveness of export markets to be one of the main reasons for interest in ESP, we create a dummy variable to differentiate between firms for whom the intended main destination is export (= 1) or domestic (= 0)[2] market.

3.2.3. Direct stakeholder pressure (DSP)

The survey includes a dichotomous question that asked the respondents if they had received stakeholder pressure to be socially and environmentally responsible. While the question does not distinguish between social and sustainability pressures, it is an excellent question to capture the fact that the pressure was salient enough to be felt and acknowledged.

3.2.4. Voice and accountability[3]

We use (democratic) Voice and (governmental) Accountability Estimate (VAE), a worldwide governance indicator (WGI), computed by the World Bank. The indicator captures the extent to which a country's citizens can participate in selecting their government as well as enjoy freedom of expression, association and media. To develop this index, WGI compiles and summarizes information from over 30 existing data sources that report the views and experiences of citizens, entrepreneurs, and experts in the public, private and NGO sectors from around the world.

3.3. Control variables

We include several control measures in our research design including firm age, firm size, foreign equity, government equity, ownership and managerial control, R&D intensity, new product introduction, prior financial performance, as well as country and industry fixed effects.

3.3.1. Firm age and size

Older and more established firms are more likely to be interested in foreign markets than their younger counterparts. Hence, following previous research (Lee & Weng, 2013), we control for a firm's age that is computed by subtracting the year of formation from the year of the survey. We use number of employees to control for firm size.

3.3.2. Ownership and managerial control

We control for *foreign equity* as it can facilitate transfer of technology and preferential access to markets and other critical resources (Douma, George, & Kabir, 2006; Gupta, 2005; Ramaswamy, 2001). We control for government equity, as it can be both an asset and a liability. It can be an asset, when it helps a firm better navigate the institutional environment in which it exists (Faccio, 2006; Veronica, Manlio, Shlomo, Antonio, & Victor, 2019; Yan, Zhu, Fan, & Kalfadellis, 2018), and a liability when it distorts a firm's decision-making and performance incentives (Gupta, 2005; Shleifer & Vishny, 1994). While political connections can exist without government equity, these are harder to observe. Government equity is an important and objective dimension of political connections, and hence we use it as a proxy measure. We control for *the largest owner's equity*, as too high an ownership concentration could indicate a weak team structure with one person in a dominant control of the firm. Lastly, as female CEOs have been shown to confront greater institutional obstacles and corruption (Mocan, 2008; Peng, 2003; Swamy, Knack, Lee, & Azfar, 2001), we control for the effect of a *Female top manager*— an indicator variable on whether or not the top manager was a woman.

3.3.3. R&D intensity

Research (McWilliams & Siegel, 2001) suggests that studies that do not consider the effect of R&D and innovation are *misspecified* as their results tend to be upwardly biased estimates of the financial impact of CSR. Therefore, we control for R&D intensity (R&D expenses to sales ratio).

3.3.4. New product introduction

We capture a firm's innovation activity using a question that asks firms to report if they had introduced any new products in the previous three years.

We also control for *prior financial performance*—computed as gross profit—as it may affect both the firm's decision to undertake ESP as well as the decision on how to handle bribery pressures. Lastly, we control for *country and industry* fixed effects for their unobserved effect on firm performance.

3.4. Methodology

We use Ordinary Least Squares methodology to predict adoption of ESP (Hypotheses 1–3), and then we start with specifications of the following form to test hypothesis 4:

$$ExportParticipation_{is} = \beta_0 + \beta_{1*}ESP_{is} + \mu_*Controls_{is} + \lambda_s + u_{is} \quad (1)$$

where the subscripts refer to a firm i belonging to country s.

$$Log\,(exportrevenue)_{is} = \alpha_0 + \alpha_{1*}ESP_{is} + \pi_*Controls_{is} + \lambda_s + \varepsilon_{is} \quad (2)$$

In line with Angrist and Pischke (2008), we estimate Eq. (1) as a Probit model[4], and our coefficient of interest is β_1. This point estimate informs us if ESP practices significantly affect a firm's export participation decision. Eq. (2) tests whether ESP practices affect the exports revenue conditional on the fact that firms already decide to participate in exports. In this case, α_1 is our coefficient of interest. Eq. (2) cannot be estimated by OLS due to potential "sample selection bias", as firms that export are not randomly selected from a sample. Exporting firms may be different from the non-exporting firms along various dimensions such as requiring international product certifications that domestic sales-oriented firms do not necessarily need. Additionally, selection bias is a widespread issue in the literature as most studies use samples from only those firms that are large, visible and known to be engage in CSR (Shahzad & Sharfman, 2017).

We address this issue by employing the Heckman correction method (Heckman, 1976), which is gaining popularity in management research (Certo, Busenbank, Woo, & Semadeni, 2016). The Heckman procedure is performed in two steps. In step 1, a selection equation is estimated where firms *self-select* into export market depending on their characteristics. Using the predicted values from this selection equation, an Inverse Mills Ratio (IMR) is calculated. Finally, IMR is controlled for in step 2 when the dependent variable is the continuous measure of our interest, i.e., export revenue. For the Heckman procedure to be valid, we need an important requirement called the exclusion restriction: the selection equation should contain at least one variable that is not in the

[2] Alternatively, we split this group further by differentiating between those who export to North America and European Union (=1) and those who export to other destinations (=0).

[3] We alternatively also develop a composite index, using factor scores, on governance using all six (6) dimensions of governance (six dimensions of governance: Voice and Accountability, Political Stability and Absence of Violence, Government Effectiveness, Regulatory Quality, Rule of Law, and Control of Corruption). Our results with this measure are identical to those reported above, which is not surprising as some research (e.g., Langbein & Knack, 2010) suggests that these dimensions essentially capture the same underlying construct.

[4] For robustness, we also used logistic regression model, and our results were identical with respect to variables of interest.

Table 1
Descriptive statistics and correlation matrix.

		Mean	S.D.	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
1	Export participation	0.38	0.49															
2	Exports revenue (logged)	16.89	3.36	.														
3	Indirect Institutional Pressure (IIP)	0.17	0.38	0.24	0.09													
4	Direct Stakeholder Pressure (DSP)	0.15	0.35	0.08	0.06	−0.04												
5	International Quality Certification (IQC)	0.26	0.44	0.32	0.32	0.10	0.13											
6	ESP Index	0.00	1.00	0.20	0.24	0.11	0.15	0.29										
7	Voice and Accountability Score	0.39	0.48	−0.01	0.15	−0.14	−0.01	0.02	−0.02									
8	Firm Age	27.33	21.50	0.11	0.15	−0.02	0.06	0.13	0.19	0.17								
9	Firm size	90.89	140.97	0.34	0.39	0.18	0.14	0.41	0.36	−0.04	0.25							
10	Prior Financial Performance (gross profit)	30.13	24.57	−0.03	0.17	−0.03	−0.05	0.07	0.02	0.01	−0.01	0.09						
11	Foreign Equity (%)	7.59	25.13	0.24	0.27	0.12	0.05	0.25	0.23	0.02	0.06	0.33	0.08					
12	Government Equity (%)	0.10	2.92	0.03	−0.02	0.00	−0.01	0.05	−0.02	0.03	−0.03	−0.01	0.08	0.00				
13	The largest Owner's Equity (%)	66.23	26.12	0.01	−0.03	0.05	−0.02	0.06	0.04	0.11	0.03	0.07	0.04	0.22	0.03			
14	Female Top Manager	0.13	0.34	−0.06	−0.04	−0.03	−0.03	−0.02	−0.04	−0.05	−0.05	−0.09	0.03	−0.06	−0.01	−0.10		
15	R&D Intensity	0.01	0.04	0.09	−0.17	−0.01	0.00	0.08	0.03	−0.04	−0.01	−0.02	−0.03	−0.04	−0.01	−0.04	0.04	
16	New Product Introduction	0.60	0.49	0.19	−0.02	−0.07	0.08	0.15	0.11	−0.05	0.05	0.10	−0.04	0.05	−0.04	0.04	−0.02	0.12

Note: Correlation values higher than 0.05 are significant at $p < 0.05$.

Table 2
Sustainability Stimuli, ESP and Exports: Exploring descriptive statistics.

	Mean	S.D.	N
Panel A. Exports participation and ESP:			
Export participation: **Yes**	0.26	0.98	468
Export participation: **No**	−0.16	0.97	755
t =	7.28	***	
Panel B. ESP by Indirect Institutional Pressure (IIP):			
Primary destination of main product: **Exports**	0.23	0.99	208
Primary destination of main product: **Domestic**	−0.06	0.99	984
t =	3.82	***	
Panel C. ESP by IIP (for exporters only):			
Primary destination of main product: **North America & Europe**	0.49	0.82	52
Primary destination of main product: **Other countries**	0.15	1.02	156
t =	2.21	*	
Panel D. Direct Stakeholder Pressure (DSP) and ESP index:			
DSP: **Yes**	0.36	0.92	175
DSP: **No**	−0.07	0.99	1017
t =	5.27	***	
Panel E. DSP, exports participation and ESP:			
No DSP, no export participation	−0.21	0.97	642
DSP, but no export participation	0.06	0.95	92
No DSP, but export participation	0.17		375
DSP and export participation	0.69	0.76	83
Panel F. DSP, IIP and ESP:			
No DSP, primary destination domestic	−0.13	0.99	833
DSP, primary destination domestic	0.34	0.93	151
No DSP, primary destination export	0.20		184
DSP and primary destination export	0.48	0.85	24
Panel G. DSP, IIP and ESP (for exporters only):			
No DSP, primary destination not NA-EU	0.13	1.03	147
DSP, primary destination not NA-EU	0.40	0.96	9
No DSP, primary destination NA-EU	0.48	0.84	37
DSP and primary destination NA-EU	0.52	0.80	15

S.D.: Standard Deviation; N= # of observations.
*** $p < 0.001$.
**$p < 0.01$.
*$p < 0.05$.

outcome equation (Certo et al., 2016).

We use *new product introduction* for this purpose. This measure has theoretical justification as well as empirical validity. Developing new products may signal interest in entering new markets. However, it is unlikely to influence the revenue from exports, particularly in the short run. Eqs. (1) and (2) above together form a complete Heckman specification, noting that the variable new product introduction is included in the control variables in (1), but not in (2).

4. Results

Table 1 reports descriptive information for our sample. 38 % firms reported export participation in the year 2009/10 and the average ESP index value is -0.01. We also notice that ESP is strongly related to exports, firm age, firm size, foreign equity, new product introduction, international quality certifications, and indirect institutional and direct stakeholder pressure.

Table 2 exhibits significant differences in firm's ESP and exports performance. In Panel A, we notice that the mean values of the average ESP index for exporting firms (mean = 0.26, s.d. = 0.98) and non-exporting firms (mean= -0.16, s.d. = .97) is significant different (t-test = 7.28, $p < 0.001$). When we distinguish the firms on the basis of the intended primary destination of their main product (indirect institutional pressure), we notice that firms are more likely to engage in ESP when the primary destination is exports rather than domestic (0.23

Table 3
Sustainability stimuli, sales destination and ESP: OLS regression results.

VARIABLES	(1) Model 1	(2) Model 2	(3) Model 3	(4) Model 4	(5) Model 5	(6) Model 6
FIRM age	0.08**	0.08***	0.08**	0.08**	0.08**	0.08**
	[0.02]	[0.02]	[0.02]	[0.02]	[0.02]	[0.02]
FIRM Size	0.29***	0.27***	0.24***	0.29***	0.23***	0.23***
	[0.03]	[0.03]	[0.03]	[0.03]	[0.03]	[0.03]
R&D intensity	0.08†	0.11†	0.06	0.08†	0.08	0.08
	[0.04]	[0.05]	[0.04]	[0.04]	[0.05]	[0.05]
Foreign equity (%)	0.10**	0.10**	0.08*	0.10**	0.08*	0.08*
	[0.03]	[0.03]	[0.03]	[0.03]	[0.03]	[0.03]
Government equity (%)	−0.02*	−0.02*	−0.02***	−0.02*	−0.02**	−0.02**
	[0.01]	[0.01]	[0.00]	[0.01]	[0.01]	[0.01]
Prior Financial Performance (gross profit)	−0.01	0.00	−0.01	−0.01	−0.00	−0.00
	[0.02]	[0.02]	[0.02]	[0.02]	[0.02]	[0.02]
The largest Owner's Equity (%)	0.01	0.02	0.01	0.02	0.02	0.01
	[0.02]	[0.02]	[0.02]	[0.02]	[0.02]	[0.02]
Female Top Manager	−0.01	−0.01	−0.02	−0.01	−0.02	−0.03
	[0.07]	[0.08]	[0.07]	[0.07]	[0.08]	[0.09]
Indirect Institutional Pressure (IIP)		0.15†			0.14†	0.28*
		[0.08]			[0.07]	[0.11]
Direct Stakeholder Pressure (DSP)		0.22**			0.20*	0.28**
		[0.06]			[0.06]	[0.07]
International Quality Certification (IQC)			0.31**		0.30**	0.39**
			[0.07]		[0.08]	[0.08]
Voice and Accountability (VAE)				−0.01	−0.00	−0.01
				[0.03]	[0.03]	[0.03]
IIP x IQC						−0.23†
						[0.12]
DSP x IQC						−0.22
						[0.14]
IIP x VAE						0.25*
						[0.09]
DSP x VAE						−0.09†
						[0.04]
Constant	−0.34*	−0.40**	−0.41**	−0.34*	−0.47***	−0.47***
	[0.11]	[0.09]	[0.11]	[0.11]	[0.09]	[0.08]
Observations	986	973	986	986	973	973
Adjusted R-squared	0.206	0.214	0.221	0.205	0.226	0.232
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes

Notes:
1. Following an anonymous reviewer's suggestion, we clustered standard errors by country for the regression models above. Note that Stata does not calculate an F-statistic after a clustered regression because the clustered regression uses Huber variances, which are calculated without assuming that the observations are independent and homoskedastic, while F-test statistic is calculated using the assumption that observations are independent and homoscedastic. F-test is, therefore, not appropriate for use in a clustered regression analysis. To carry out multi-dimensional hypothesis tests for a clustered regression model, we use testparm, a separate command, which suggested that the f-statistic was above 12 ($p < .001$) for all models.
2. As Stata leaves out VAE, when we add country effects due to multicollinearity. It is not included in the results reported above. However, if we use country effects instead of VAE, our results with respect to variables of main interest are nearly identical, if not slightly stronger, than those reported above. To depict moderating effect of VAE, we report results with VAE.
3. Following the best practice recommendations (Dawson & Richter, 2006), we use standardized independent variables in our regressions to help with interpretation of interaction effects.
4. The results with the variable "Primary destination of main product: Exports to NA/EU", instead of exports to all destinations, are identical and not included above for the sake of parsimony.
Robust standard errors in brackets.
*** $p < 0.001$.
** $p < 0.01$.
* $p < 0.05$.
† $p < 0.10$.

v. −0.06, $p < 0.001$ in Panel B). Within export markets, firms are more likely to engage in ESP when the destination is North America and European Union rather than other markets (0.49 v. 0.15, $p < 0.05$ in Panel C).

Further, when firms report receiving DSP, their ESP performance is significantly higher (0.36 v. −0.07, $p < 0.001$ in Panel D). Panels E and F explore the joint effect of DSP and export market interest on ESP index. Panel E shows that firms' ESP performance is the highest when they perceive DSP and participate in export markets, and the lowest in the opposite case. These patterns are similarly discernible in Panels F and G, and suggest qualitative differences in DSP, ESP and exports performance across firms that are explored next in the multivariate regression analysis.

Table 3 reports our OLS regression results with ESP index as a dependent variable. Model 1 presents the results with just the control variables. We introduce each of the variables of interest, viz. institutional and stakeholder pressures, organizational agency and Voice & Accountability, individually in models 2−4. Model 5 incorporates all main effects and Model 6 is a complete model with all interaction effects.[5]

[5] Note that for robustness tests, we replace any export destination with

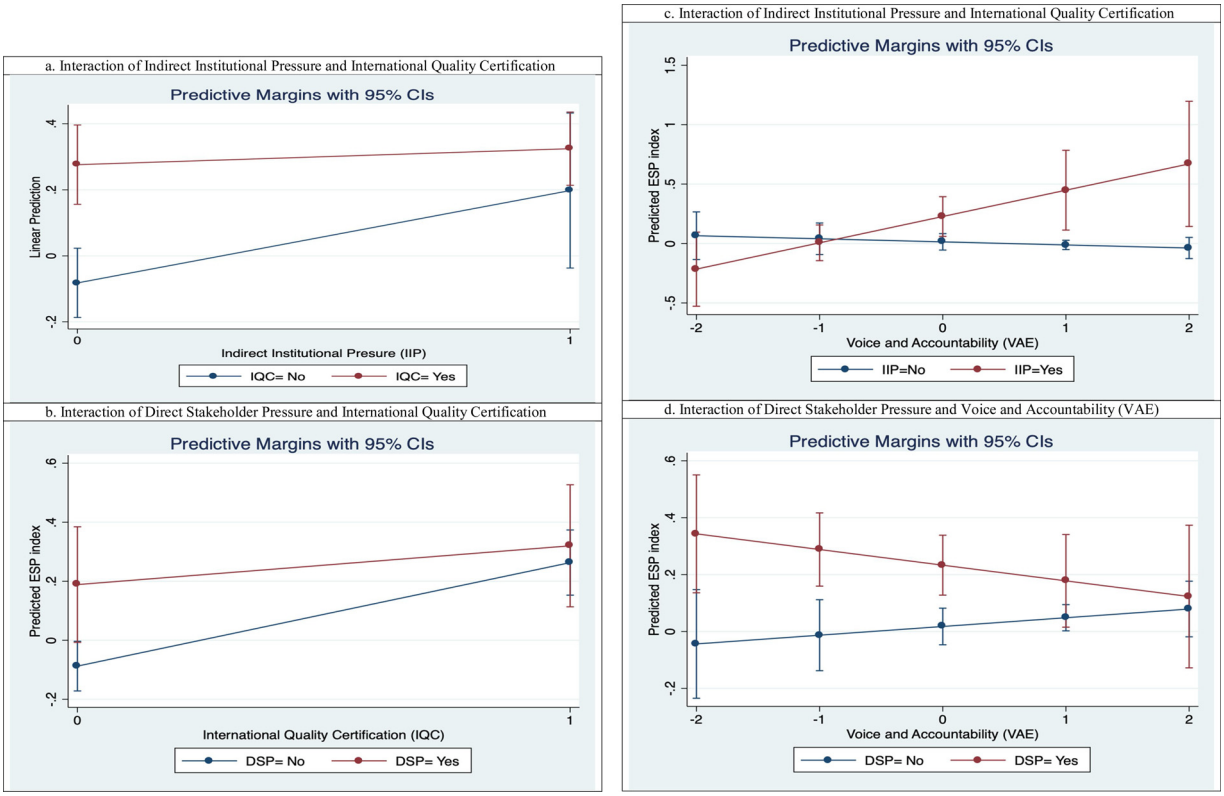


Fig. 2. Predicted interactions (margins) effects for ESP. a) Interaction of Indirect Institutional Pressure and International Quality Certification. b) Interaction of Direct Stakeholder Pressure and International Quality Certification. c) Interaction of Indirect Institutional Pressure and International Quality Certification. d) Interaction of Direct Stakeholder Pressure and Voice and Accountability (VAE).

As is clear across all models, primary destination of exports, our measure for indirect institutional pressure, is positively related (β = 0.28, $p < 0.01$ in Model 6) with ESP. Similarly, direct stakeholder pressure is also positively related (β = 0.28, $p < 0.01$ in Model 6) with adoption of ESP by Latin American firms. Hence, both hypothesis 1a and 1b are strongly supported.

In support of Hypothesis 2a, we find that international quality certification (β = 0.39, $p < 0.01$ in Model 5) is an important catalyst for ESP. To help interpret the interaction effects, we plot it in Fig. 2. Following the best practice recommendations of previous research (Brambor, Clark, & Golder, 2006; Zelner, 2009), we plot the margins graph (Stata commands margins followed by marginsplot in Stata) to depict predicted values, along with 95 % confidence intervals, at likely values of interacting variables.

Panel 2a in Fig. 2 depicts the interaction of IIP and IQC. As seen from the illustration, firms that intend are interested in export markets as destination for their primary products and demonstrate organizational agency by obtaining international quality certifications exhibit the highest predicted ESP. Its converse exhibits the opposite. Panel 2b depicts the interaction of DSP and IQC, and once again shows similar joint effect of DSP and IQC such that firms undertake the maximum ESP when they receive DSP and obtain IQC. Thus, Hypothesis 2b, which predicted that organizational agency moderates the relationship between external pressures and ESP such that its presence (absence) strengthens (weakens) the relationship between external pressures and ESP receives a strong support.

In Hypothesis 3, we predicted a similar direct and indirect effect of VAE on ESP adoption. Hypothesis 3a suggested that VAE is positively related with the ESP adoption. However, our results show that the main effect of VAE is not significant (β = -0.01, $p > 0.10$ in Model 6). Hence, we do not find support for this hypothesis. However, the interaction graph Panels 2c-d show significant indirect (joint) effects of VAE. Panel 2c shows that interest in export markets and high levels of VAE lead to maximum ESP. Interestingly, firms exhibit lower ESP, despite high country-level VAE, in the absence of interest in export markets. Finally, at low levels of VAE, firms exhibit similar levels of ESP whether or not they are interested in export markets.

Panel 2d, similarly, depicts interaction between DSP and VAE. It shows that DSP is most effective when firms operate in low VAE environments. However, in the absence of DSP, firms are predicted to exhibit low ESP in such environments. At high levels of VAE, firms exhibit similar ESP irrespective of whether they perceive DSP or not. Thus, Hypothesis 3b also receives support. Overall, these results provide strong indications regarding the drivers of ESP in Latin America

Table 4 reports our regression results for the effect of ESP on exporting outcomes. Model 7 presents results with only control variables and Model 8 with the addition of exports participation decision. Models 9 presents Heckman selection results for the exports revenue decision. From models 7 and 8, we observe that firm size, foreign equity, government equity, and prior financial performance are all significantly related with participation in export markets. These effects generally persist across various models. More importantly, we find robust support for our Hypothesis 4a, which predicts that ESP is positively associated with exports participation (β = 0.11, $p < 0.05$ in Model 8).

We turn next to the relationship between ESP practices and magnitude of exports as envisaged in Hypothesis 4b. Recall that the methodological issue here is that simply linking amount of exports to ESP practices would be erroneous. Many firms may choose not to enter export markets but excluding them would lead to biased estimates. Our Heckman regression results in Model9 shows that even after correcting for this selection bias, ESP index is positively and significantly

(*footnote continued*)
exports just to North America and Europe (=1, or not =0), and our results are identical. These results are not reported for brevity but are available on request.

Table 4
Effects of ESP on export participation and exports revenue.

	Model 7 Probit	Model 8 Probit	Model 9 Heckman's 1st Stage	Model 9 Heckman's 2nd Stage	Model 10 IVREG 2nd Stage
DV =	Exports participation	Exports participation	Exports participation	Exports value	Exports value
Firm Age	0.00	0.00	0.00	0.00	−0.02
	[0.00]	[0.00]	[0.00]	[0.00]	[0.02]
Firm size	0.00***	0.00***	0.00***	0.01***	0.00
	[0.00]	[0.00]	[0.00]	[0.00]	[0.01]
R&D Intensity	2.37	2.19	1.73	−6.31**	−4.27
	[2.10]	[2.03]	[1.88]	[2.13]	[13.46]
International Quality Certification (IQC)	0.64***	0.61***	0.60***	1.14***	1.45
	[0.11]	[0.11]	[0.11]	[0.19]	[1.59]
Foreign Equity (%)	0.01***	0.01***	0.01***	0.01***	0.03
	[0.00]	[0.00]	[0.00]	[0.00]	[0.02]
Government Equity (%)	0.02**	0.02**	0.03**	−0.01*	0.16***
	[0.01]	[0.01]	[0.01]	[0.00]	[0.04]
Prior Financial Performance (gross profit)	−0.01**	−0.01**	−0.01**		−0.02
	[0.00]	[0.00]	[0.00]		[0.01]
The largest Owner's Equity (%)	−0.00	−0.00	−0.00	−0.00	−0.02
	[0.00]	[0.00]	[0.00]	[0.00]	[0.01]
Female Top Manager	−0.08	−0.08	−0.09	−0.34	−0.22
	[0.13]	[0.13]	[0.13]	[0.26]	[1.11]
Voice and Accountability Score (VAE)		0.02	0.10	−2.12	−3.29
		[1.16]	[1.13]	[1.82]	[3.84]
ESP Index		0.11*	0.12*	0.26*	9.02*
		[0.05]	[0.06]	[0.12]	[4.19]
ESP Index x IQC			−0.06	−0.33†	
			[0.11]	[0.17]	
New Product Introduction			0.39***		
			[0.10]		
Constant	−0.22	−0.14	−0.27	14.06***	12.75**
	[0.32]	[0.53]	[0.52]	[0.87]	[4.18]
Observations	984	984	986	986	973
Country FE	Yes	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes	Yes

Significance levels: † $p < 0.10$ * $p < 0.05$ ** $p < 0.01$ *** $p < 0.001$.
Notes: 1. Country and industry effects not reported for the sake of parsimony.
2. **Relevant extract for the first stage in IVREG**: New product introduction (β = 0.09), DSP (β = 0.18**) and F-test statistic (18.41***).
3. Weakiv results for IVREG: Conditional likelihood ratio test (12.39***), Lagrange multiplier K test (7.51**), J over-identification test (7.13**), Anderson-Rubin (AR) test statistic (14.64***), and Wald's χ^2 (4.65**).

associated with export revenue (β = 0.26, p < 0.01 in Model 9). Hence, Hypothesis 4b receives strong support as well.[6] Note that this is despite controlling for IQC, which is also positively associated with export revenue. We find strong support for this hypothesis as IQC is also positively and significantly associated with export revenue (β = 1.14, p < 0.001 in Model 9).

To test the robustness of our findings, we carried out a number of alternative specifications such as using alternative measures and various permutations and combinations of variables included and excluded from the regression models. Above all, Table 4 also presents results from instrumental variables regression (2SLS, ivreg in Stata) in Model 10, which explores preliminary evidence on causality. We use new product introduction and DSP as the instruments for ESP as employing two or more instruments allows us to test instrument exogeneity and strength (Arora, 2018). These two instruments are related with the potential endogenous variable (ESP), but not directly with the dependent variable (i.e., Export revenue), and we confirm the strength of our instruments using ivreg2 and weakiv procedure (Finlay, Magnusson, & Schaffer, 2015). As the first-stage regression estimates and tests for the strength of instruments confirm their appropriateness (Table 4, notes 2–3), we report the results for exports. Our results once again confirm our predicted relationships. ESP index, which is instrumented, is once again significantly related to exports revenue (β = 9.02, p < 0.05 in Model 10).

5. Discussion and conclusion

In this paper, we incorporate insights from institutional economics into stakeholder theory to examine behavior of Latin American SMEs. We find that firms show greater interest in the adoption of ESP practices when they are interested in participating in export market, which subsequently reflects positively in their export performance. We also find this to be especially true, when firms also adopt strategies to develop credibility among stakeholders and are based in countries with that favor such credibility development. In doing so, we suggest need for sustainability literature to better integrate firm's strategy and its institutional context.

Although our study focuses on ESP in Latin America, we make a broader contribution to stakeholder theory with our richer integration of institutional environment, and to institutional theory by highlighting the role of organizational agency. First, we respond to the call of scholars (Aguinis & Glavas, 2012; Miska et al., 2018) for uncovering mechanisms by which ESP influences a firm's competitive performance

[6] It is worth noting that we do find evidence of selection bias. The Wald Test rejects the null hypothesis that selection and structural equations are independent; which justifies our decision to use Heckman procedure over OLS regression. Note also that following the recommendation of Certo et al. (2015), we examined the correlation between x and the inverse Mills ratio corr[x,IMR] to better understand the strength of the exclusion restriction. We find corr [x,IMR] to be 0.33, which is within the recommended range; hence justifying our use of product introduction as the variable for exclusion restriction.

in its targeted markets. We not only show the importance of institutional antecedents, but also highlight the critical role of organizational actors in interpreting and responding to conflicting signals from their institutional environments.

Second, by highlighting the interplay of strategy and institutions, we provide a plausible mechanism for reconciling the contradictory findings on transmission of institutional pressures across global supply chains (Jamali, Lund-Thomsen, Jeppesen, 2017; Berrone & Gomez-Mejia, 2009; Jamali, Lund-Thomsen, Khara, 2017; Kim & Davis, 2016). Third, we address the dearth of *empirical* work on emerging markets (de Oliveira & Jabbour, 2017; Muller & Kolk, 2010), and show when and why ESP might be beneficial to emerging market firms. Lastly, in showing that even small firms benefit from stakeholder responsiveness, we extend recent research that explores internationalization strategies of SMEs (Stoian, Dimitratos, & Plakoyiannaki, 2018).

While some scholars raise concerns over possible use of CSR as de facto trade barriers (Fliess, Lee, Dubreuil, & Agatiello, 2007), others predict the opposite, i.e., CSR can actually be used as a tool to overcome barriers (Hawn, 2013). Some suggest that the greater focus on CSR appears to have helped Cambodia compete better against cheaper Chinese exports to the US. Thus, when the Multi-Fiber Arrangement was coming to an end, "commentators routinely" projected "doomsday scenario." However, Cambodia successfully overcame it as a result of collective action on CSR (Frost & Ho, 2006). Lund-Thomsen and Nadvi (2010), similarly, show that while local suppliers often complain about CSR compliance costs, their "collective action, articulated through industry associations, can potentially reduce costs and promote local embeddedness of CSR initiatives." These studies hint at the potential of CSR to be an opportunity as well as a threat to the competitive position of firms in emerging markets in the middle-income category. Our study provides robust evidence to further advance this idea.

Similarly, we provide robust evidence to challenge prior research (Aulakh et al., 2000), which suggests that firms from emerging markets should focus on cost leadership. We contend that as exporters from middle-income countries cannot compete on the basis of price against those from low-cost countries (Boehe & Cruz, 2010), they could find it more advantageous to focus on better meeting the needs of their stakeholders.

5.1. Limitations and future research

While this paper makes several methodological improvements, it has its own share of limitations. First, within an institutional setting, agents with identical tastes can make different choices raising the possibility of multiple equilibria (North, 1990). As Bridoux and Stoelhorst (2014) suggest, it is possible to succeed both by developing deep stakeholder relationships and by using an arms-length approach to stakeholder management. Similarly, prior research suggests that stakeholders' responsiveness to a firm's CSR campaigns may depend on its interests, awareness and identification with the cause (Mitchell et al., 1997). Thus, while we study generalizable trends, it is not inconceivable that some firms in middle income markets succeed at exporting without undertaking proactive ESP. While recognizing this as a limitation, we must also note that this restriction essentially biases us against finding results.

Second, prior research suggests that firms "observe each other to understand what practices are effective and acceptable" in their institutional environment (Guler, Guillén, & Macpherson, 2002, p. 214). New practices that have been successfully experimented at peer firms could provide a blueprint for replication to others (Lindgreen, Swaen, & Maon, 2009; Oehme & Bort, 2015). Similarly Lu (2002, p. 19) suggests that, "later entrants tended to follow the entry mode patterns established by earlier entrants" into international markets. This is especially true when firms are engaged in a search for new markets as they are more likely to be paying attention to broader trends in their institutional environment as well as the strategic responses of their peer firms.

We concur with these observations, and believe that success of role model peer firms is an important mimetic pressure on Latin American firms to replicate ESP. To test for this effect, we total the number of firms, by country and industry, who can serve as role models by adding the number of firms that exhibit above average ESP performance and are primarily exporters. Our results show that the presence of role model firms, indeed, acts as a mimetic pressure on firms and higher the number of role model firms, greater is the focal firm's ESP. While we find preliminary evidence in this regard in our robustness checks, arguably the use of a measure from within WBES could cause potential endogeneity bias. Therefore, we leave it for future research to examine the role of role model peer firms in adoption of ESP.

Third, some scholars (Sharma & Henriques, 2005) distinguish between type of pressures exerted (e.g., withholding critical resources) as well as stages of sustainability from early (pollution control) to advanced (e.g., relocation to reuse waste) practices adopted by firms. Our data do not allow us to make such distinctions, which are more applicable in advanced economies like Canada. While we suggest that even early stage ESP is significant in the present context of emerging markets, future research should investigate more advanced sustainability practices as and when data limitations are no longer applicable.

Fourth, while WBES does not identify the source of stakeholder pressure on firms to engage in ESP, we recommend future research to investigate if firms' responses to different stakeholder groups varies significantly. If so, how and why? Does it depend on their power, urgency and legitimacy (Mitchell et al., 1997) or on some other factors such as the complex interplay of a variety of home and host country institutions (Fainshmidt, Judge, Aguilera, & Smith, 2018; Minbaeva, Rabbiosi, & Stahl, 2018; Mingo, Junkunc, & Morales, 2018) that are yet to be identified? Despite these limitations, we claim broad support for our predictions. In addition to results reported in this paper, we conducted extensive robustness checks with different model specifications. Our results remained robust to these alternative specifications.

Overall, our study provides substantial evidence on the diffusion of behavioral practices across a vast array of firms in Latin America. By incorporating multiple layers of institutions as well as organizational agency, we try to find a balance between two extreme views on institutions. While some scholars view firms as "passive cultural dopes," others present them as "hypermuscular supermen" single-handedly transforming rules of the game to best achieve their goals (Suddaby, 2010, p. 15). Our study aims for a right balance in the interplay of strategy and institutions, which should help us not just better understand the nature of relationship between ESP and firm performance, but also herald many interesting avenues for future research on a wide variety of topics of interest to management scholars.

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Declaration of Competing Interest

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Appendix A. Supplementary data

Supplementary material related to this article can be found, in the online version, at doi:https://doi.org/10.1016/j.jwb.2020.101094.

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